Dropline OD Product Overview for RAG Chatbot (Prototype)

This document is intended as customer-facing product knowledge for a prototype Unsecured Dropline Overdraft (OD) web application. It avoids internal underwriting, credit assessment, risk scoring, or confidential banking processes.

1. What is an Unsecured Dropline OD?

An Unsecured Dropline Overdraft (OD) is a revolving working-capital credit facility designed to help businesses manage short-term cash flow requirements without providing collateral (subject to lender approval). A maximum sanctioned limit is approved, and the customer can withdraw funds whenever required, up to the available drawing limit. Interest is charged only on the amount actually utilized, not on the entire sanctioned limit. Unlike a standard overdraft, the maximum drawing limit gradually reduces over time according to a predefined dropline schedule.

2. Purpose of the Product

The facility is intended to provide flexible access to working capital for day-to-day business needs such as supplier payments, inventory purchases, operational expenses, salary payments, or temporary cash-flow gaps.

3. Key Product Features

• Unsecured facility (no collateral for this prototype).

• Sanctioned limit up to ■50 Lakhs (prototype value).

• Facility tenure of 36 months.

• Facility validity of 1 year, subject to renewal review.

• Interest rate fixed at 13.9% per annum (prototype).

• Processing fee of 1.9% of the sanctioned amount (prototype).

• Interest charged only on the utilized amount.

• Digital application, acceptance and e-sign journey.

• Downloadable Key Fact Statement (KFS).

• Downloadable sanction letter after activation.

• Dashboard to monitor utilization, available limit, accrued interest and renewal status.

4. Benefits

• Flexibility to borrow only when required.

• Lower interest cost because interest applies only to utilized funds.

• No need to reapply for every withdrawal while the facility remains active.

• Entire journey can be completed digitally.

• Transparent product details through KFS and sanction letter.

• Simple dashboard to monitor the facility.

• Suitable for managing fluctuating business cash-flow needs.

5. How the Reducing Dropline Structure Works

A dropline structure means that the maximum drawing limit reduces periodically according to the agreed repayment schedule over the tenure. The reduction applies to the approved limit, not necessarily to the outstanding utilized amount. Customers should ensure their outstanding balance remains within the available drawing limit after each scheduled reduction.

6. Prototype Product Parameters

Maximum Limit: Up to ■50 Lakhs
Interest Rate: 13.9% p.a.
Processing Fee: 1.9%
Tenure: 36 Months
Facility Validity: 1 Year
Repayment Structure: Reducing Dropline

7. Comparison with Other Credit Products

Dropline OD: Flexible withdrawals within an approved limit. Interest is charged only on the utilized amount. Drawing limit reduces over time.

Term Loan: Entire loan amount is disbursed upfront and repaid through scheduled instalments. Interest generally applies to the outstanding loan balance.

Cash Credit (CC): Revolving working-capital facility typically linked to business assets and limits may be reviewed periodically. Interest is generally charged on the utilized amount.

Working Capital Loan: Broad category of financing for operational expenses. May be structured as a term loan, overdraft, or cash credit depending on the lender and product.

8. Important Customer Notes

• Read the Key Fact Statement before accepting the offer.

• Review the interest rate, processing fee, tenure and repayment structure.

• Complete OTP verification and e-sign before activation.

• Monitor the dashboard regularly for available limit and accrued interest.

• Renew the facility before validity expires if renewal is available.

9. What This Chatbot Can Answer

The chatbot can explain the product, application journey, KFS, MITC, interest calculation methodology, repayment structure, dashboard information, renewal process, sanction letter, e-sign process and other customer-facing information.

10. What This Chatbot Will Not Answer

The chatbot will not disclose or explain internal credit assessment, underwriting criteria, risk scoring, business rules used for offer generation, eligibility algorithms, credit bureau evaluation, or customer-specific confidential information.